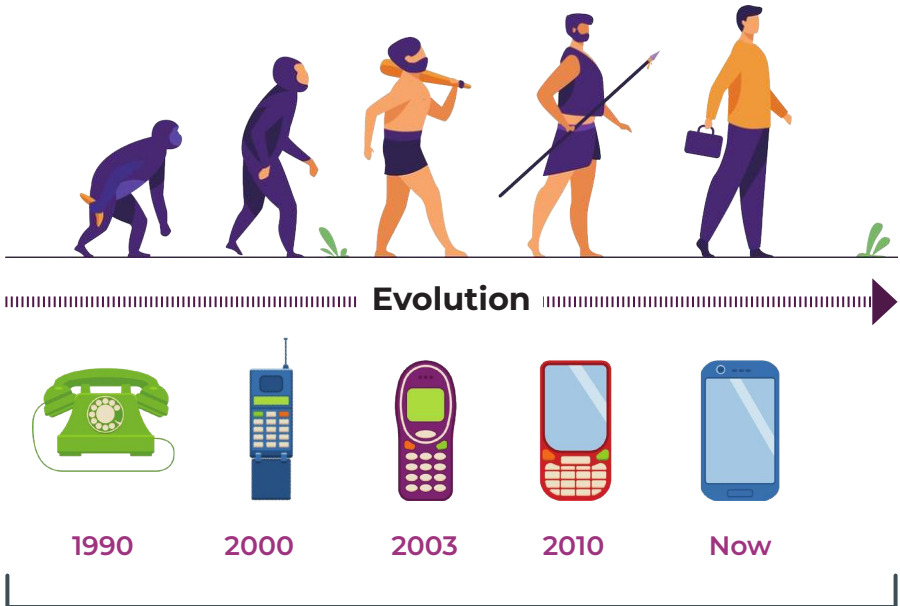


Evolution of Industry

The point 'evolution of industry and businesses' deals with how the industry, its products, and the various firms within it have evolved over the years to arrive at the current stage.



It gives a perspective of the history of the industry and thus allows entrepreneurs and investors to reason about the current state more rationally. It gives them an understanding of what has worked in the industry in the past and what has not.

Evolution is the only explanation for diversity in businesses.

- It also explains the similarities and differences in approaches, strategies, and business models within the industry.
- It throws light on the changes that happen to the needs of customers, how their pains and gain requirements were born, how they have changed over time, and what different offerings were created in due course.

Firms undergo changes which, according to them, shall increase their chances of survival and help them stay relevant for a longer period. The firms that undergo adaptation and make relevant changes continuously are the ones that survive longer, while the weaker ones die. Any given industry goes through multiple rounds of disruption, which expand its life span before it ceases to exist. Either the need to survive goes away or a substitute industry replaces it.

When a new business model comes along, every player in the industry tries different strategies and creates new product offerings. Companies adapt to survive.